

Fixed income, verified animal by animal.

A 60-month, CDI-linked token backed by a CVM-regulated CRA and collateralized by individually traced beef and dairy cattle in Brazil. Quarterly coupons in native USDC, principal and compounded interest at maturity — on a sequenced path to a Fitch international-scale rating.

100% CDI

OVER A 60-MONTH TERM

20,000 USDC

MINIMUM INVESTMENT

Quarterly

USDC COUPONS ON 50% OF
CAPITAL

Yield with collateral you can audit. A 5-year fixed-income token that pays Brazil's benchmark rate, backed by two herds — dairy funds the coupons, beef funds the principal — every animal individually identified.

Livestock Rent connects Brazil's institutional agricultural finance rails — CPRs registered at B3, CRAs issued by CVM-authorized securitization companies, official SISBOV identity on every animal — to onchain capital through a permissioned token with native-USDC settlement. This brief describes the fixed-income product for a non-resident, Web3-native allocator who operates in USDC and wants asset-backed yield, not promises.

01

The instrument at a glance

Product	Permissioned fixed-income token representing a CRA participation
Legal backing	CRA issued by a CVM-authorized securitization company, backed by beef- and dairy-cattle CPRs registered at B3
Tenor	60 months (5 years)
Benchmark	100% of CDI — Brazil's interbank benchmark rate
Coupon	Quarterly interest on 50% of invested capital — 20 coupons, settled in USDC
Accrual	Remaining 50% compounds at 100% of CDI; paid at maturity with all principal
Minimum	20,000 USDC
Settlement	Native USDC via authorized providers, after the BRL waterfall is calculated
Collateral monitoring	Every animal identified (SISBOV + digital identity), reconciled monthly
Rating path	Fitch national scale sf(bra) → Fitch international scale at pool scale

Illustrative economics — pre-issuance, at an assumed CDI of 12% p.a.

CDI floats daily; actual coupons follow realized CDI, calculated in BRL and converted to USDC at each payment date.

Principal	20,000 USDC
Coupon base (50% of capital)	10,000 USDC
Quarterly coupon at CDI ($\approx 2.87\%$ / quarter)	≈ 287 USDC
Total coupons over 20 quarters	$\approx 5,750$ USDC
Accruing half at maturity ($10,000 \times 5y$ at 100% CDI)	$\approx 17,620$ USDC
Coupon-half principal returned at maturity	10,000 USDC
Total cash received over 60 months	$\approx 33,370$ USDC

Cash flow starts in month 3 and repeats every quarter. The product is designed to **demonstrate solvency continuously** — not to ask for five years of trust.

02

Two herds, one waterfall

Dairy → the coupons

- Milk generates revenue monthly — recurring and contracted with offtakers
- Measurable per animal per day; the natural funding source for 20 quarterly coupons
- Underwritten as a separate sub-pool with its own performance reporting

Beef → the principal

- Finishing cohorts rolled every 4–8 months across the 60-month term
- Terminal value repays principal and the compounded half at maturity
- Same discipline as the pilot: every animal financed, documented, allocated once

Dairy covering coupons and beef covering principal is the base case; the waterfall, reserves, and over-collateralization absorb deviations. Both herds are individually identified through SISBOV and the permissioned digital-identity registry.

Payment mechanics

- 1 20,000 USDC minimum subscription → lawful BRL conversion and CRA subscription
- 2 Securitization estate — CVM-authorized issuer, segregated from the operator
- 3 Beef + dairy CPRs registered at B3
- 4 Monthly collections — milk offtake + cattle sales
- 5 Waterfall: expenses → reserves → quarterly coupon → reinvestment in new CPR cohorts
- 6 Every quarter: CDI interest on 50% of capital in USDC · Month 60: principal + compounded CDI on the rest

Reserves sized for a 5-year promise

A coupon reserve covering **at least two quarterly payments** is funded before any reinvestment — a weak dairy quarter does not become a missed coupon. Collections above the coupon requirement are reinvested in new CPR cohorts inside the estate; that reinvestment is what lets a biological asset service a 5-year financial obligation.

CDI, for a USDC investor

- ✓ **CDI is a BRL rate** — Brazil's interbank benchmark, historically one of the highest real rates among major economies. Every Brazilian fixed-income product prices against it.
- ✓ **Calculated in BRL, settled in USDC.** The investor carries BRL/USD exposure between payment dates. High CDI has historically compensated part of BRL depreciation — but not mechanically, and not in every window.
- ✓ **Why not a dollar rate?** The collateral earns in BRL. A USD-denominated coupon against BRL cash flows would hide an FX mismatch inside the structure. Passing CDI through keeps it honest; the investor chooses the exposure knowingly. Hedged, lower-yield share classes may follow in future pools.

The Fitch path — the core of the trust story

For the target investor, animal-level transparency is necessary but not sufficient. The independent opinion their regulators and committees already accept comes from a global rating agency — and **Fitch Ratings is formally recognized in every target market.**

United States

SEC · NRSRO

Usable by funds, insurers & banks

European Union

ESMA · ECAI

Solvency II, CRR & SECR due diligence

Japan

JFSA

Eligible for bank & insurer portfolios

Singapore

MAS

Accepted across manager & family-office mandates

Australia

APRA · ECAI

Usable by superannuation funds & insurers

Sequenced with scale

First tokenized pool

LAUNCH SCALE · UNRATED

- Produces the rating dossier
- Asset-level default, mortality, recovery & cost data
- Documented servicing & legal opinions

Institutional pool

R\$ 5–20 M · NATIONAL SCALE
SF(BRA)

- First independent credit opinion
- Unlocks Fiagros & domestic distribution
- Coupon benchmarked to a public rating curve

Scaled pools

R\$ 50 M+ · INTERNATIONAL
SCALE

- The rating a US / EU / Asian / Australian mandate can use
- Annual surveillance & event-driven review
- Ceiling mitigants evaluated (offshore coupon reserve, pre-funded payments)

The ceiling, stated plainly

Fitch rates Brazil **BB (stable)** with a **BB+ country ceiling**. The international-scale rating on a BRL-collections structure will be **high yield, not investment grade** — and a sovereign downgrade would pressure it regardless of herd performance. The USDC settlement design addresses precisely the transfer-and-convertibility risk behind that ceiling. **No rating exists today and no agency has been engaged.**

The 60-month tenor is an advantage: five years of quarterly payment history and animal-level data is exactly the surveillance record Fitch's structured finance methodology rewards — and the agency's machinery is battle-tested, having acted on **191 CRA series in a single review in June 2026.**

Token design

Permissioned token — transfers restricted to allowlisted, KYC-verified wallets

Quarterly USDC distributions pushed onchain to holders of record

Published waterfall — the calculation ships with every payment

Animal-level registry — collateral auditable continuously · **recovery, pause & dispute** procedures documented

Risk factors, summarized

- ✓ Credit risk of CPR obligors · biological risk (mortality, disease, underperformance) · milk and cattle price risk
- ✓ Reinvestment risk across the 60-month term · liquidity risk (no secondary market is promised)
- ✓ FX risk (BRL/USD) between payment dates · CDI-linked returns are calculated in BRL
- ✓ Structure, regulatory & tax risk in Brazil and in the investor's jurisdiction · sovereign-ceiling risk on any future rating
- ✓ No FGC (Brazilian deposit insurance) coverage. No guarantee of principal or yield.

A biological asset that pays like a bond — quarterly, in USDC, against collateral you can audit down to the individual animal — on a sequenced path to a Fitch international rating.

Next steps

- 1 Term sheet — final coupon mechanics and reserve sizing
- 2 Eligibility, KYC/AML, tax & registration analysis per jurisdiction
- 3 Securitization partner & CRA documentation for the 60-month coupon-paying issuance
- 4 Rating-dossier data room to Fitch methodology from day one — price, feed, milk-yield & mortality stress scenarios
- 5 Token, allowlist, distribution & USDC settlement infrastructure → first pool subscription (min. 20,000 USDC)

Important notice. This document is a strategic private concept brief, not an offer, recommendation, or solicitation to the public. All economics are illustrative and pre-issuance; actual terms are defined only by final offering documents of a CRA issued by a CVM-authorized securitization company. Payments depend on collections, reserves, and the waterfall, and are exposed to credit, biological, price, reinvestment, currency, tax, conversion, custody, liquidity, and settlement risks. No credit rating exists today and no rating agency has been engaged; references to Fitch describe an intended trajectory, constrained by Brazil's sovereign rating and country ceiling (BB / BB+). Projected returns are not a guarantee of results.